

But always remember, a trader can survive in markets without profits but not without capital. Protecting capital is pivotal, and the next important aspect is consistent profit-making.

Fear

Fear is the other side of the coin to greed. Fear is more focused on the broader individual mindset.

There are two types of fear:

- 1) Simple fear to take trades
- 2) Fear of missing out (FOMO)

Most of the fears in your mind are created from your past negative experiences in trading. For example, a trader is hesitant to trade even after his trading setup shows an entry.

It indicates he has lost money with that trade setup earlier, and his subconscious mind has stored that trading concept with pain. Hence, there is hesitation in his mind.

There are two ways to get rid of this simple fear:

- 1) Increase your conviction on the trading setup. If you backtest an intraday trading system for 10 years manually, each data is stored in the subconscious mind and thereby increases the conviction.
- 2) Plan your trade and trade your plan. Write clear rules about your trading system and make an honest attempt to follow them. Never try to amend those rules in the live market as our mind is filled with emotions in the live market.

The fear of missing out (FOMO) occurs when the price shows your setup (but you are not 100% sure and do not take the entry) and then the price makes a big move. This will lead to chasing an entry, which is not suitable for trading.

When a trader sees the chart on the next day, his mind remembers the lost opportunity on the previous day, and somehow his mind convinces him that his trade setup has occurred.

FOMO is especially tough for new traders as they have not seen many such experiences. The best way to deal with FOMO is to have rules in place